The Scratch-Off Revolution for Mobile Advertising

Turn banner blindness into engagement — and real prizes into real leads. A polite, voluntary scratch mechanic that works for publishers, advertisers, and users simultaneously.

hello@skratchads.com

THE PROBLEM: BANNER ADVERTISING IS BROKEN

Low Click Through Rates

0.3–0.56%

Average Banner in-app banner CTR

Embryo / AppLovin 2024

Low eCPM

$0.50–$1.50

US Tier 1 banner eCPM

AdMob / Playwire Q4 2024

Wasted Spend

$51B

US banner ad spend wasted 2024

Statista / Oberlo

Root Causes

- **Banner blindness — users ignore them entirely**
- **Apple ATT + cookie deprecation gutted targeting**
- **Intrusive formats (interstitials, rewarded video) hurt retention**
- **Publishers trapped in a race-to-bottom CPM war**
- **Ad blockers used by 37% of US mobile users**

Sources: Embryo, AdMob/Playwire, Statista, Oberlo, Business of Apps — 2024

THE SOLUTION: HOW SKRATCHADS WORKS

01

Banner Loads

Polite, edge-anchored banner appears in-app. Animated scratch cue invites engagement.

02

User Scratches

Voluntary 3–5 second scratch gesture. No forced interruption to the user session.

03

Win Path

Prize overlay reveals → email capture → redeemable token → qualified advertiser lead.

04

Lose Path

Brand ad reveals to primed, engaged user. Attention primed by scratch = 5–10× CTR uplift.

60-second cooldown prevents ad fatigue · Fallback standard banner maintains 100% fill rate · No session interruption

WHY NOW: PERFECT MARKET CONDITIONS

Privacy Revolution

ATT framework & cookie deprecation ended behavioral targeting. Engagement is now the primary value signal for advertisers.

Mobile Dominance

$402B global spend in 2024 growing at 11% YoY. In-app formats projected to reach $390B in 2025 alone.

Gamification Proven

Rewarded video delivers 71% higher ROAS over forced formats. Discord launched mobile Video Quests in March 2025.

Scratch Psychology

$100B+ spent on US lottery scratch-offs annually — users voluntarily scratch for any chance at reward.

MVP Ready

Working product with live JS banner integration. Second iteration built on lessons from a 2011–2014 predecessor.

No Direct Competitor

Zero products combine: polite banner format + real prizes + dual conversion path (win path + lose path).

Sources: AppLovin, Discord (March 2025), NASPL Lottery Data, Business of Apps — 2024/2025

MARKET SIZE

TAM	$402B+	Global in-app ad spend 2024 — growing to $550B+ by 2028
SAM	$60B	Interactive, rewarded & engagement formats (~15% of in-app market)
SOM	$50M+	Realistic 5-year capture at Phase 4 (20,000+ integrated apps)

US banner ad spend alone: $50.96B (2024) · US rewarded video growing 15%+ YoY · In-app formats = highest-volume ad category

Sources: SensorTower, Statista, Oberlo — 2024/2025

COMPETITIVE LANDSCAPE

Format	Non-Intrusive	Voluntary	Real Prizes	Dual Convert	eCPM (US)
Standard Banner	✅	❌	❌	❌	$0.50–$1.50
Interstitial	❌	❌	❌	❌	$5–$8
Rewarded Video	⚠️ Full-screen	✅	Virtual only	❌	$15–$30
Playable Ads	⚠️ Full-screen	✅	❌	❌	$5–$20
ScratchAds✦	✅	✅	✅ **Real**	✅	**$8–$20**

Sources: Playwire/AdMob, Business of Apps, Yango Ads — Q4 2024 US market rates

PRODUCT & TECHNOLOGY

Interactive Scratch Banner

HTML5 Canvas engine
6 custom scratch images
Animated reveal mechanics

Server-Side Win Logic

Dynamic randomization
No client manipulation
Real-time prize pool mgmt

Self-Serve Dashboard

Campaign creation wizard
Real-time analytics
Budget & prize controls

Redemption System

Token-based, time-limited
Email capture on win
Verified claim flow

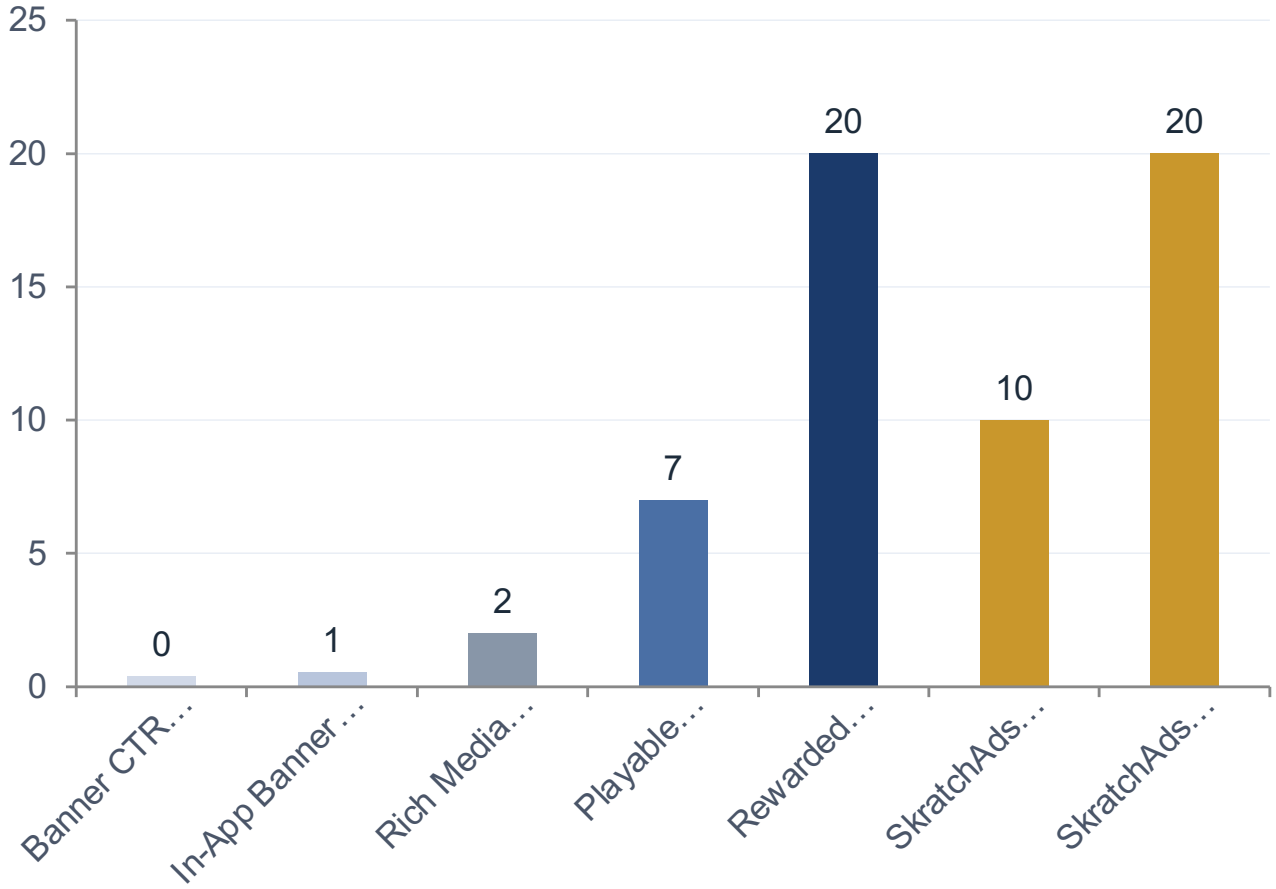
AWS Infrastructure

Postgres + S3 storage
Internal data control
Scalable to 10K+ apps

Easy Integration

JS banner today
iOS & Android SDKs (2026)
Mediation adapters (2027)

ENGAGEMENT METRICS: SKRATCHADS VS. INDUSTRY



25–50×
vs. standard banner engagement

$8–20
Target eCPM (US market)

~20%
Projected scratch completion rate

70%
Publisher revenue share

Sources: Embryo (in-app CTR 0.56%), Yango Ads (rewarded opt-in), Playwire/AdMob (eCPM), Business of Apps — 2024

BUSINESS MODEL: COST-PER-SCRATCH (CPS)

Revenue Streams

80–90%

Primary: CPS fees

$1–$3 early access · $3–$8+ at scale

10–15%

Secondary: Primed-click fees

Higher-intent post-scratch brand clicks

5–10%

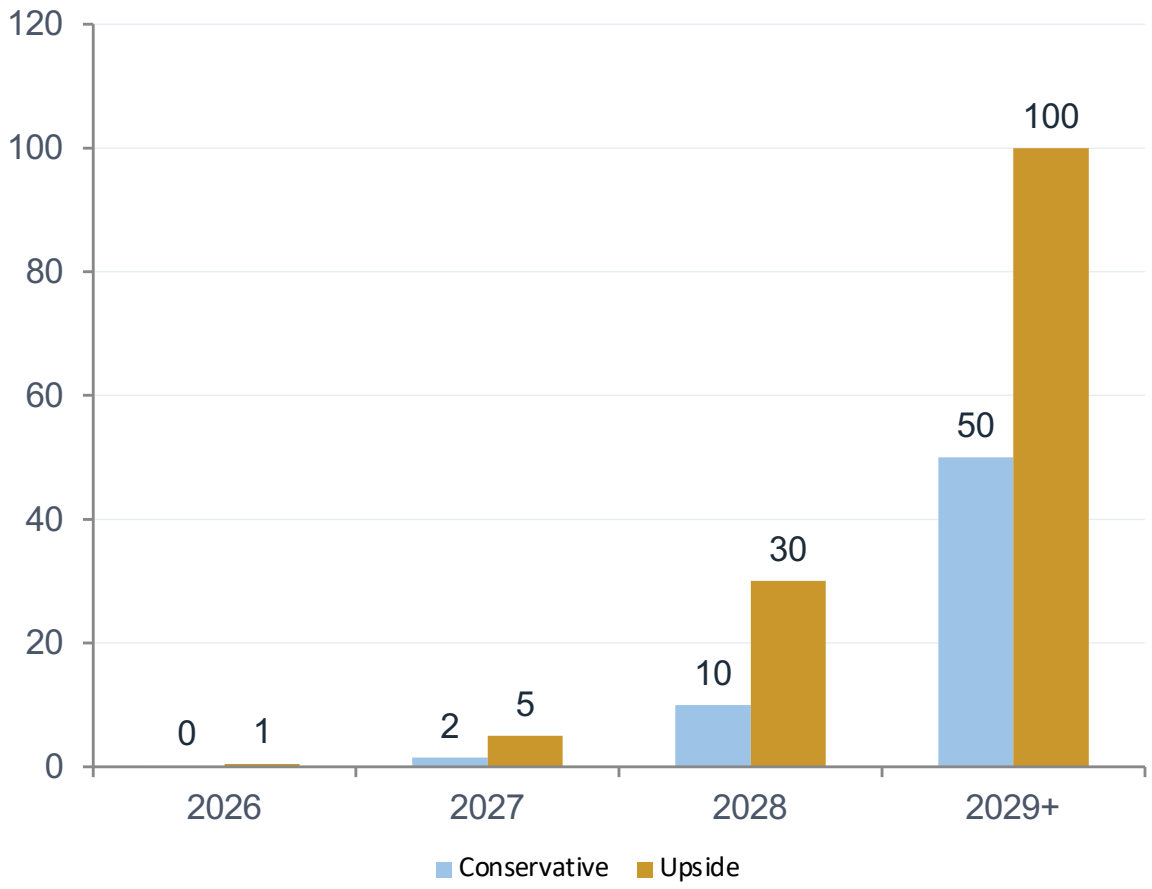
Future: Brand campaigns

Fixed sponsorships, targeting, data insights

Unit Economics

Publisher Share	70% of CPS revenue
SkratchAds Take	30% net margin
Early CPS Price	$1–$3 (market entry)
Mature CPS Price	$3–$8+ (at scale)
Prize Budget	20–50% of media spend
Break-even ARR	~$500K–$1M

REVENUE PROJECTIONS (CONSERVATIVE VS. UPSIDE)



2026	50–200 apps JS banner · First brands $100K–500K ARR
2027	500–2K apps Native iOS + Android SDK $1M–5M ARR
2028	5K–10K apps Internal auction engine $10M–30M ARR
2029+	20K+ apps Acquisition target $50M+ ARR

Conservative base case · 30% take rate · Sources: Statista, SensorTower, AppLovin, Business of Apps

GO-TO-MARKET STRATEGY

Phase 1

2026

Target: 50–200 Apps

· Direct outreach — Discord, Reddit, X/Twitter

· Free POC's – Test Engagement

· Case study-driven early adopters

· Target: $100K–500K ARR

Phase 2

2027

Target: 500–2K Apps

· Native iOS + Android SDK releases

· Mediation adapters (ironSource, MAX)

· Word-of-mouth flywheel + testimonials

· Target: $1M–5M ARR

Phase 3

2028+

Target: 5K–20K+ Apps

· Internal RTB auction engine

· Category + geo targeting features

· Enterprise brand partnerships

· Target: $10M–100M ARR

THE TEAM

D

Founder & Technical Lead

Experienced iOS and native developer. Sole architect and builder of the SkratchAds MVP — a second iteration incorporating lessons from a 2011–2014 predecessor. Full-stack across mobile, web, and ad serving infrastructure.

Key Strengths

· iOS / native mobile development

· Full-stack web + AWS/Postgres/S3

· Ad serving systems & SDK architecture

· End-to-end product execution

C

Founder & Strategy Lead

Original concept originator in 2011. Persistent long-term vision holder who brought the product back to life. Leads strategic direction, advertising partnerships, and business development.

Key Strengths

· Advertising strategy & GTM

· Brand and publisher partnerships

· Business development

· Long-term product vision

THE ASK

Seeking $2M–$3M Seed Investment

hello@skratchads.com

Use of Funds

40% — **Publisher Acquisition**
Direct outreach, onboarding 200+ apps

30% — **Native SDK Development**
iOS & Android SDK builds

20% — **Platform Infrastructure**
Targeting, mediation, internal auction

10% — **Operations & Legal**
Sweepstakes compliance, team expansion

Sources: Statista, SensorTower, AppLovin, Business of Apps, Yango Ads, NASPL